

AutoNation, Inc. ("AN") is the largest automotive retailer in the U.S., owning and operating 269 new vehicle franchises from 228 stores located predominantly in the "Sunbelt" region, from Southern California to Florida. It often clusters dealerships within markets, allowing them to share inventory, cross-sell to customers, and reduce marketing costs.

Going forward, the long-term growth component to this investment is tied to the fragmented nature of the U.S. auto dealer industry. Despite being the country's largest auto dealer by market share, AutoNation has only a roughly 1.5% market share. Furthermore, most dealerships in the U.S. are privately held, with many of their owners nearing retirement age. Therefore, the opportunities for consolidation are substantial. These dynamics were no doubt a significant part of the reason Berkshire Hathaway recently acquired the largest privately-owned auto dealer in the U.S., renaming it "Berkshire Hathaway Automotive". AutoNation now trades at valuation multiples that, for the most part, are slightly lower than those of the broad equity market. At this price level, and given the tremendous opportunities for growth in the coming years, we believe the risk/reward dynamics of AutoNation are quite favorable.

- **Valuation:** As of November 24, 2014, AN traded at a price to earnings ratio, or P/E, of 17x, as compared to a P/E of 19x for the S&P 500 Index.
- **Index ownership:** Weight in S&P 500 Index: 0.02%
- **Return on equity:** 18.6% for FY 2013, representing a compound annual growth rate of 18.6% over the 2010-2013 period.
- **Net income growth:** 18% compound annual growth in net income over the 2010-2013 period. However, EPS increased 25% (compound annual growth rate) over the same period, reflecting the impact of aggressive share repurchases by the company.
- **Balance Sheet:** Debt to Equity ratio of 0.95x as of September 2014.
- **Share repurchases:** AN has repurchased shares aggressively since 2000, reducing the number of shares outstanding by 66% over the 14 year period.
- **Number of analyst estimates:** 15
- **Selected Predictive Attributes:**
  - Owner-operator management: Mr. Lampert owns approximately 30% of shares outstanding.
  - Industry History: Mr. Lampert has a long-term record of shrewd decision-making and investment success.

*Source: Horizon Kinetics Research, Company Reports, Bloomberg. See important disclosures at the back.*

We believe that DreamWorks Animation SKG Inc. (“DWA”), a producer of animated feature films, is a significantly misunderstood company. Though it has created successes, such as the *Shrek*, *Madagascar*, and *Kung Fu Panda* franchises, Wall Street appears to trade the shares based on the box office success or failure of the latest release—opening weekend results of each film have an outsized impact on the company’s stock price, ignoring the financial contributions of the 30 or more films that it has created and released since 1998.

Because of the peculiarities of movie accounting, films tend to be fully expensed by the time of, or shortly after, their initial release. Accordingly, new films sometimes appear unprofitable, since they are subject to significant upfront costs, and huge amortization expenses once the films begin to generate revenues. A follow-on effect, though, is that any future revenue associated with movies from the library (films that are at least 4 years past release) has very little associated cost and is largely converted to pre-tax earnings. In 2013, these revenues were \$173 million. Assuming that such revenues were comprised of all pre-tax earnings, and that the company would have paid a 26% tax rate (in line with its 2013 overall tax rate) on those earnings, its library would have generated \$129 million in net profits. At a multiple of just 10x earnings, the library would thus be worth \$1.3 billion, which should be compared to the \$1.95 billion valuation for the entire company.

Therefore, the resultant “stub” value of the new film business is only \$650 million, which can be compared to a current book value for the equity of approximately \$1.5 billion. The largest component of equity book value is inventory (\$1.015 billion), which is the carrying value of animated content net of amortization, where applicable, for “in release” films and television specials. Hence, inventory is the cost of all of the content that is yet to be amortized. In a sum-of-the-parts analysis, the company can be viewed as a film library business trading at 10x earnings and a new content business trading at less than 50% of book value.

This valuation is compelling, but also fails to consider the qualitative aspects of the business model that certainly have the potential to add value. These include recent efforts in foreign film studio joint ventures, theme parks, consumer products and various additional digital businesses. By purchasing the “non-library” businesses at less than 50% of book value, we believe an investor receives significant potential upside in these recent initiatives at little to no cost.

- **Valuation:** As noted above, applying a conservative multiple to the revenues generated from the library results in a \$1.3 billion valuation for that portion of the business, compared to a \$1.95 billion market cap for the entire company. Furthermore, given its low valuation and the growing demand for content to fill an expanding number of distribution channels, we believe that DWA is an attractive acquisition candidate.
- **Index ownership:** Weight in S&P 400 Midcap Index: 0.10%
- **Balance Sheet:** Debt to Equity ratio was 0.21x as of 12/31/2014.
- **Number of analyst estimates:** 14
- **Selected Predictive Attributes:**
  - Owner-operator: Jeffrey Katzenberg controls 60.1% of DWA voting power
  - Scalability: Revenues generated from the library have negligible associated costs
  - Industry History: The founders (Steven Spielberg, Jeffrey Katzenberg, and David Geffen) have all had significant success in the entertainment industry.
  - Long Product Lifecycle: The movies created by DWA will likely be viewed by generations to come, and their characters can be licensed for follow-on television shows, characters at theme parks, and toys.

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The Howard Hughes Corporation (“HHC”) is a developer and manager of commercial, residential, and mixed use real estate assets. The company was spun off from General Growth Properties, Inc. (ticker: GGP) in 2010 as part of GGP’s reorganization. At that time, Howard Hughes was trading at a significant discount (as much as ~50%) to book value, and the book value itself represented assets recorded at valuations far below fair value. For example, the South Street Seaport property in lower Manhattan was carried at approximately \$3 million on the balance sheet at that time—about the price of a decent sized apartment in that area. In fact, the current book value multiple of approximately 2.6x represents a considerable discount to fair value, even when using GGP current multiple of 3.5x. GGP is a good, albeit, not ideal comparable, as the company’s real estate portfolio was restated at “fair” book value during the reorganization. Our original investment was based on the thesis that the land and property portfolio was worth significantly more than the market capitalization of the company, and that the very purpose of the spin-off was to properly develop these properties, a number of them having unusually significant redevelopment value. Early support for this thesis was provided when the management team that was hired to run this company was required (and, obviously, agreed) to invest \$19 million of their own capital in warrants that were locked up for seven years and priced, effectively, significantly out of the money—in essence, a *negative* sign-on bonus, perhaps unique in the annals of senior executive hiring. Clearly, these insiders, with decades of industry experience and with access to all of the company’s information, believed deeply in the long-term value of these assets. This management team has made consistent progress in developing various company assets that have compounded book value and which are expected to generate an additional \$16 million in Net Operating Income when stabilized.

- **Valuation:** As of November 14, 2014, HHC shares were trading at a price to book ratio of 2.6x. While much higher than when the investment was initiated in 2010, we do not believe this decline reflects the earnings potential from assets still in development.
- **Revenue Growth:** In 2013, revenues totaled \$475 million, up 26% from 2012.
- **Index ownership:** Not held in S&P 500, S&P 400, or Russell 2000 Index
- **Balance Sheet:** Debt to equity ratio = 0.87
- **Number of analyst estimates:** 4
- **Selected Predictive Attributes:**
  - Owner-operator management: Chairman of the Board Bill Ackman (of Pershing Square L.P.) beneficially owns 13.2% of shares outstanding. As noted above, management has a significant vested interest in warrants which are not yet exercisable.
  - Dormant Assets: The company has many major assets in development or recently completed, including South Street Seaport, The Woodlands Texas, Ward Village (Hawaii), and Summerlin (Las Vegas). While some of these assets are beginning to produce cash flow, at the moment, there is little visibility into their true earnings potential.
  - Spin-Offs: HHC was spun off from GGP in 2010.
  - Long Product Lifecycle: HHC owns assets that are difficult to replace, such as the South Street Seaport and coastal property in Honolulu, Hawaii.

*Source: Horizon Kinetics Research, Company Reports, Bloomberg. See important disclosures at the back.*

Icahn Enterprises, L.P. (“IEP”), Carl Icahn’s holding company, may be to Mr. Icahn what Berkshire Hathaway is to Warren Buffett—his publicly-traded investment legacy. Despite Mr. Icahn’s investment skill, IEP traded below book value and at a discount to estimated net asset value (“NAV”) until 2013. On a sum-of-the parts basis, which is a somewhat limited analysis, IEP appears to be worth approximately \$90 per share, given the recent stock prices of its publicly listed companies and conservative estimates for some of its private holdings. An investment in IEP provides diversified exposure to a wide variety of industries, such as technology (Apple and Netflix), energy (Chesapeake, CVR Energy), real estate (including the dormant, almost-finished Fontainebleau Casino in Las Vegas), gaming (Tropicana), metals, food packaging, home furnishing, auto parts (Federal Mogul), and rail cars (American Railcar and leasing company AEP), as well as additional public and private positions Mr. Icahn holds in his investment portfolio.

In fact, IEP contains a number of very sizable investments that could each have a dramatic impact upon the company’s NAV. It had more than \$5 billion (as of June 30, 2014) invested in Mr. Icahn’s hedge fund, which generated annualized gross returns of 36.5% between April 1, 2010 and September 30, 2014. Since its inception in November 2004, the hedge fund has averaged 15% annual returns. If that level of returns continues, IEP stands to record \$750 million per year in profits from this segment alone—in fact, the company’s entire market capitalization is 16x the earnings of just this segment, ignoring the significant profit potential from the company’s private and public investment stakes. Similarly, the company generated slightly more than \$1.5 billion of adjusted EBITDA during the trailing twelve month period ending September 30, 2014. The current enterprise value of IEP is slightly more than \$12 billion, resulting in a multiple of approximately 11x. Thus, shares of IEP are available for purchase at an 11x adjusted cash flow multiple, while also paying a dividend of \$6 per unit (approximately 6.5%).

- **Valuation:** IEP shares frequently trade based on the results of the hedge fund; however, this largely overlooks the successful investments in operating companies held by IEP. As detailed below, the company trades at a modest premium to net asset value, after years of trading below NAV.
- **Index ownership:** Not held in S&P 500, S&P 400 or Russell 2000 Index
- **Return on equity:** 18.7% as of 12/31/2013.
- **Balance Sheet:** Debt to equity ratio was 0.70x as of 12/31/2013
- **Number of analyst estimates:** 1
- **Selected Predictive Attributes:**
  - Owner-operator management: Mr. Icahn owns approximately 88% of IEP’s shares.
  - Bits & Pieces: Adding IEP’s investment stakes in publicly-traded companies (based on most recent disclosures), conservatively estimated fair value for private investments as of November 11, 2014, and the market value of public investments via the investment fund, and adjusting for net debt, one arrives at a NAV of \$9.9 billion, compared to the company’s market capitalization on the same date of \$12.6 billion. We believe that the significant return potential from many of these holdings justifies the modest premium to NAV.
  - Industry History: Mr. Icahn is a consummate activist investor, with a long history of excellent results.

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Jarden Corp. (“JAH”) owns a collection of consumer product companies that manufacture a diverse set of items, ranging from fishing equipment to scented candles. With very few exceptions, they each occupy the largest market share in their respective product categories. The company’s strategy is to acquire mature, stable consumer brands that do not require substantial amounts of reinvestment. These acquisitions are generally financed in large part with debt, which is gradually repaid through the consistent cash flow produced by the acquired businesses. In essence, Jarden engages in a form of a cost-of-capital arbitrage—it finances acquisitions with debt bearing a lower interest rate than the return on capital generated from the acquired businesses. Examples of the company’s brands, a large proportion of which have been in continuous operation for longer than 50, and even 100, years (intrinsicly long product lifecycles and low competitive risk), include Coleman, Yankee Candle, Marmot, Rawlings, Mr. Coffee, Crock-Pot, Sunbeam, Java-Log, First Alert, and both Bee and Bicycle playing cards.

This strategy, which is not dissimilar from the leveraged approach of private equity, has been remarkably successful. In 2002, Martin Franklin and his partner, Ian Ashken, gained control of Jarden, in order to apply this acquisition oriented policy to the consumer products industry. Since that time, Jarden shares, after adjusting for stock splits, and including dividends, have appreciated by roughly 30% per annum.

- **Valuation:** Jarden has had significant success thus far via its growth by acquisition strategy, and has generated substantial shareholder value. We believe the company has the potential to further expand revenues and margins going forward.
- **Index ownership:** Weight in S&P 400 Midcap Index: 0.49%
- **Book value per share growth:** Since 2001, book value per share has increased from \$0.75 to \$19.16, a 31% annualized rate.
- **Balance Sheet:** Debt to equity ratio was 1.88x as of 12/31/2013
- **Number of analyst estimates:** 17
- **Selected Predictive Attributes:**
  - Owner-operator: Ian Ashken and Martin Franklin together control approximately 5.3% of the shares.
  - Long Product Lifecycle: Most of JAH’s brands have the largest market share in their category, and many have been in operation for decades.

Liberty Media Corporation “LMCA”) comprises the digital broadcasting, live entertainment, and print media assets of owner-operator John Malone. Liberty Media is a holding company that has often, throughout its history, traded at a discount to the fair value of its assets. Many of these assets are publicly-traded securities, the value of which are readily identifiable. There have also been operating companies held within Liberty Media that, perhaps due to the holding company structure, have been valued at a significant discount to its publicly-traded peers. The company has a stellar record of unlocking the value of these assets through various corporate actions, including spin-offs and mergers, with a particular flair for doing so in a tax-efficient manner. Exact numbers are difficult to come by due to the sheer volume of corporate actions that Liberty has undertaken over the years, but we estimate that John Malone, the Chairman of the Liberty entities and owner of a 47% voting interest in the company, has generated shareholder returns of approximately 40% per year since 1974, when Liberty was still part of TCI (“Tele-Communications Inc.”)

Today, Liberty’s holdings comprise investments in Sirius XM Holdings (NASDAQ: SIRI, 57% equity interest), and Live Nation Entertainment (NYSE: LYV, 27% interest), as the company recently spun off Liberty Broadband and its equity interest in Charter Communications, as well as the Atlanta Braves.

- **Valuation:** As of October, the value of Liberty’s publicly-traded securities was greater than the market capitalization of the company.
- **Insider ownership:** Chairman John Malone owns 0.8% of the A shares, 94.7% of the B shares, and 8.9% of the C shares, which, combined, represent 46.4% voting control of the company.
- **Index ownership:** Not held in the S&P 500, S&P 400, or Russell 2000 Index
- **Return on equity:** 85.57% for FY 2013
- **Net income growth:** 69% compound annual growth rate over the 2010-2013 period, or 653% net income growth from FY 2012 to FY 2013
- **Balance Sheet:** Debt to Equity ratio was 0.23x for FY 2013
- **Share repurchases:** Plans to finish \$2.7 billion share repurchase of Sirius shares.
- **Number of analyst estimates:** 12
- **Selected Predictive Attributes:**
  - Owner-operator management: John Malone controls nearly 40% of the company's voting interest and approximately 9% (over \$1 billion) of its economic interest.
  - Spin-Offs: Liberty Media has a long history of spin-off transactions, including the separation from Starz, which was completed in early 2013, and the spin-off of Liberty Broadband on November 4.
  - Bits & Pieces: The value of Liberty’s publicly-traded securities are worth more than the current trading value for of all of Liberty Media, even after accounting for the company’s debt.
  - Industry History: John Malone is known for being a proficient capital allocator and one with a long track record of success: he is probably most well-known for leading the wave of cable industry consolidation in the 1980s.

*Source: Horizon Kinetics Research, Company Reports, Bloomberg. See important disclosures at the back.*

In 2011, the Wendy's Company ("WEN") replaced Burger King as America's second largest hamburger chain. Remarkably, Wendy's was barely profitable at the time, following a long period of insufficient investment in the wake of the death of founder and owner Dave Thomas<sup>3</sup>, generating net profit margins of 1% to 2%, while Yum! Brands<sup>4</sup> and McDonald's were consistently at 10% and 20%, respectively. At the time, serially successful owner-operators Nelson Peltz and Peter May, who together now control 24% of the shares, put forth a long-term transformation plan. It centered on three initiatives: 1) upgrading the restaurants from their traditional fast food layout to a more modern, slightly more upscale, "fast casual" layout--an expensive undertaking, with full remodeling costing up to \$750,000 per store; 2) selling a significant percentage of Wendy's company-owned restaurants to franchisees, swapping capital-intensive, low margin property for the asset-light royalty stream of the franchise model (at year-end 2012, 22% of Wendy's restaurants were company-owned, versus 15% today); and 3) given that Wendy's generates less than 1% of its revenue outside North America (McDonald's and Yum! Brands are at over two-thirds), aggressively expanding internationally.

Now nearly three years into this transformation strategy, Wendy's appears to be succeeding on all fronts. Last quarter, its net profit margin increased to 5.5%, and early results show that restaurant upgrades are lifting sales 10% to 35%. Yet, Wendy's is only in the early stages of its transformation process: only 12% of its restaurants have been upgraded (or are expected to be by year-end 2014), versus a target of 85% by the end of 2017. This is important, since it superficially appears to be a fully valued stock on a P/E basis, but its rebranding project is only partially complete, obscuring much of the ultimate earnings enhancement; since the latent earnings power will not be obvious for another two years or so, those earnings are not adequately valued. It is a low P/E stock in high P/E clothing. After it upgrades the majority of its restaurant system in North America, management plans a rapid international expansion through franchisees—an initiative that should not only increase revenue, but which should also continue to enhance profit margins. If management can successfully implement this plan, we believe that Wendy's shares, which have nearly doubled since Horizon Kinetics initiated a position in early 2012, should continue to prove a salutary investment.

- **Valuation:** Though WEN trades at a P/E of approximately 25x, and therefore, at first glance appears to be richly valued, it is still in the midst of its transformation; accordingly, its current earnings are not reflective of potential earnings. The company has the possibility to significantly increase revenues and expand margins as the turnaround plan is implemented.
- **Index ownership:** Weight in S&P 400 Midcap Index: 0.14%
- **Balance Sheet:** Debt to equity ratio as of 12/29/2013 was 0.76x.
- **Number of analyst estimates:** 18
- **Selected Predictive Attributes:**
  - Owner-operator: Nelson Peltz and Peter May control 24% of shares outstanding.
  - Industry History: Mssrs. Peltz and May have a long history of successful turnarounds.

<sup>3</sup> Mr. Thomas retired from his day to day responsibilities in 1982, but returned to a more active role within the company and as a TV spokesperson in the mid to late 80s.

<sup>4</sup> Yum! Brands portfolio of companies includes Taco Bell, Kentucky Fried Chicken, and Pizza Hut.

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Onex Corp. (“Onex”) is a private equity management company based in Canada, with over \$20 billion of assets under management. The company’s track record of performance is exceptional—many of its funds have achieved net internal rates of return in excess of 20%, and some in excess of 30% annually. Onex is an owner-operated company, as its founder, Gerry Schwartz, along with other members of senior management, own 21% of the total shares outstanding. Notably, members of the management team are each required to invest a portion of their annual salary in every transaction undertaken by Onex, and also purchase, during their tenure, a minimum of 1 million shares of the company that are held until individual retirement. This compensation policy compels the Onex management to have a substantial personal financial interest in the long term growth of the company.

Since its formation, Onex has invested its own capital in most transactions in which it engages. Currently, this proprietary capital amounts to over \$50 per share, meaning that the remaining \$16 billion of fee-generating, third party managed assets are assigned only \$1 billion of market value. On this basis, Onex is clearly mispriced. Despite an historical pattern of undervaluation, the company’s shares have vastly outperformed virtually every broad stock market index—for instance, over the last 20 years, Onex shares have returned 2,008% (including dividends) as compared to the cumulative 547% return of the S&P 500.

- **Valuation:** Currently, Onex’s proprietary capital amounts to over \$50 per share (or approximately \$4 billion). Effectively, therefore, the remaining \$16 billion of fee-generating, third party managed assets are assigned only \$1 billion of market value. Based on the unrealized after tax earnings produced from the management and incentive fees in the company’s funds, the market has placed a very low, single-digit P/E multiple on this asset management business.
- **Number of analyst estimates:** 7
- **Selected Predictive attributes:**
  - Owner-operator: Founder Gerry Schwartz, along with other members of senior management, own 21% of total shares outstanding
  - Industry History: The company has a track record of exceptional performance.
  - Business Model: As a money manager, Onex is a form of croupier company, which draws a fee on the transactions or capital of other parties. Whatever consolidated return the world’s investment assets, in aggregate, generate, it is net of the fees paid to asset managers. The asset manager receives those fees whether the underlying assets rise, fall, or are flat, and once the manager achieves sufficient scale that fixed costs (which are relatively minimal) are covered, the financial returns are quite high; structurally, they will exceed the returns of the underlying assets and portfolios that the manager direct.



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